

Identity & Access Fundamentals

AuthN vs. AuthZ, tenants, users, groups and roles — the building blocks of Module 01

 Beginner 10 Minutes AZ-104 · Prerequisites

Why This Matters

Identity & Governance is the **largest single domain** on the AZ-104 exam (20–25%).

Module 01 builds directly on the concepts below — read this first if terms like "tenant," "directory," or "role-based access" are new to you.

Authentication vs. Authorization

These two terms are often confused but mean different things:

- **Authentication (AuthN)** — *proving who you are* (e.g., signing in with a username and password, or MFA).
- **Authorization (AuthZ)** — *what you're allowed to do once you're signed in* (e.g., can you create a VM in this subscription?).

Microsoft Entra ID (formerly Azure AD) handles **authentication**. **Role-Based Access Control (RBAC)** handles **authorization**. Module 01 covers both — Lab 01 focuses on Entra ID identities, Lab 02 on RBAC.

```
Sign-in request
|
▼
Authentication (Entra ID)
"Who are you?"
|  ✓ identity verified
▼
Authorization (Azure RBAC)
"What can you do?"
|
├─ Contributor → can manage resources
├─ Reader       → can view only
```

Tenants & Directories

A **Microsoft Entra tenant** (directory) is a dedicated, isolated instance of Entra ID — essentially "your organization's identity database" in the cloud. When you sign up for Azure, a tenant is created automatically. Every **user**, **group**, and **app registration** lives inside a tenant.

Example: Your organization `contoso.com` has one Entra tenant. All employees' user accounts, the security groups they belong to, and any custom applications registered for SSO all live in that one tenant — even if the organization has multiple Azure *subscriptions* (billing/resource containers) underneath it.

 **Note**

A tenant is *not* the same as a subscription. One tenant can be linked to many subscriptions; Module 01 (Lab 03) covers how subscriptions, management groups, and resource groups relate.

Users, Groups & Roles

- A **user** is an identity that can sign in (a person, or in some cases a service).
- A **group** is a collection of users (and/or other groups) — used to assign permissions or licenses to many users at once instead of individually.
- A **role** is a named set of permissions. Entra ID has built-in **administrator roles** (e.g., *User Administrator*, *Global Administrator*) that control what someone can do *to the directory itself* (manage users, reset passwords, etc.) — distinct from Azure RBAC roles, which control what someone can do *to Azure resources* (VMs, storage, networks).

	Entra ID roles	Azure RBAC roles
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Controls access to	The directory (users, groups, licenses)	Azure resources (subscriptions, resource groups, individual resources)
Example role	User Administrator	Contributor, Reader, Virtual Machine Contributor
Covered in	Lab 01	Lab 02

Why This Distinction Matters on the Exam

A classic exam scenario: "User A can sign in but can't create any resources." This is almost always an **Azure RBAC** problem (no role assignment on the subscription/resource group), not an Entra ID problem — because *signing in successfully* already proves authentication works. Knowing which layer (AuthN vs. AuthZ) a symptom points to is a recurring exam pattern.

How This Connects to Other Topics

Glossary

Unfamiliar term? Check the **AZ-104 Glossary** for quick definitions of every concept used across these docs.

Module 01 — Identity & Governance

Start with **Entra ID Overview** (tenants, users, groups in practice), then **RBAC Fundamentals** (authorization in depth).

Key Takeaways



Summary

- Authentication (AuthN)** = proving who you are (Entra ID)
- Authorization (AuthZ)** = what you can do (Azure RBAC)

- **Tenant** = your organization's isolated identity directory
- **Tenant ≠ Subscription** — one tenant can have many subscriptions
- **Users / Groups / Roles** = the building blocks of identity and access
- **Entra roles ≠ Azure RBAC roles** — different systems, both needed
- "Can sign in but can't do anything" → almost always an **RBAC** issue

Next Steps

1. **Recap:** Read **Cloud Computing Fundamentals** if you haven't yet
2. **Recap:** Read **Networking Basics** (needed for Module 04)
3. **Begin:** **Module 01: Entra ID Overview** — apply tenants, users & groups
4. **Continue:** **Module 01: RBAC Fundamentals** — apply authorization

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